SI424: Can Your Portfolio Survive the AI Hangover? ft. Alan Dunne

Podcast: Top Traders Unplugged

AI Executive Summary

1. Core Thesis The episode posits that investment success relies less on predicting specific market outcomes and more on constructing portfolios resilient to unpredictable scenarios. While Q4 traditionally benefits trend-following strategies, the broader year-end environment is characterized by high dispersion in manager performance and shifting structural correlations between bonds and equities (particularly since 2020). The hosts argue that investors must move beyond traditional reliance on negative correlation or "60-40" diversification to build portfolios capable of withstanding multiple adverse economic scenarios, such as AI bubble unwinds, fiscal dominance, or credit market instability.

2. Key Arguments & Data * **Credit Market Risks:** Arenae Capital raised $7.5B but is down 22–25% year-to-date (YTD) on the credit sector; this suggests potential systemic issues in the high-yield junk bond space rather than isolated manager failure, with other managers struggling to replicate their results. * **Central Bank & Policy:** The Federal Reserve is shifting from 8 to 7 policy-focused meetings annually, citing a data-rich period; they introduced "New Monetary Medicine" (price stability framework) but critics note the actions are modest compared to rhetoric. Christine Lagarde's announcement to leave the ECB post in February of next year adds volatility to European bond markets and political maneuvering for France/ECB leadership. * **AI Boom & Bust:** A report by Dario Peri (styled as a "Citrini-like" look back) argues the AI boom will unwind post-2030 due to capital depreciation vs. depreciation, citing circular financing flows and high CAPEX without corresponding GDP growth. Alan Dunn suggests this ignores the multiplier effect on construction/infrastructure and the risk of increased debt levels during a potential bust. * **Trend Following Performance:** The Stockton Trend Index is down 1.09% monthly but up 5.15% YTD; S&P CTA Index down 1.25% monthly, up 14.21% YTD; MSCI World up 74 basis points vs. US/Europe excluding North America down 1.18%. * **Bond-Equity Correlation:** The correlation has shifted from negative to positive since 2020 (avg ~0.3) due to higher inflation, stagflation (2022), and sticky rates. A perfect negative correlation period (Dec 21 – Sep 22) showed equities down 20% while bonds fell 60%, yet

daily correlation was near zero. * **Portfolio Resilience:** The hosts argue resilience is a measurable component beyond risk/return, defined by: moderate growth reliance, independent bets (not just asset class count), inflation protection, and adaptive/convex strategies (CTAs/MACRO).

3. Actionable Takeaways * **Diversify Beyond Correlation:** Do not rely on bond/equity negative correlation as a primary diversifier; instead focus on building "independent bets" within the portfolio structure to handle scenarios like high debt or inflationary shocks. * **Integrate Trend Following for Convexity:** Use trend-following strategies to provide resilience and protection during major equity drawdowns (e.g., 2008, COVID) rather than trying to predict downside risk with traditional hedges; accept opportunity costs as a trade-off for long-term compounding safety. * **Scenario Planning Over Prediction:** Avoid over-reliance on specific economic forecasts (like a "Peri-like" AI unwind scenario); instead prepare portfolios that withstand multiple adverse outcomes including fiscal dominance, supply shocks, and high-yield debt crises. * **Monitor Credit Systemically:** Keep close watch on credit spreads and high-yield sectors for systemic shifts, particularly if major names like Arenae Capital show significant underperformance or liquidity issues. * **Build Adaptive Resilience:** Score portfolios based on resilience components (inflation protection, growth moderation) rather than just volatility reduction; be willing to hold lower-performing assets in specific scenarios that offer portfolio stability over long-term periods.

Full Transcript

I mean, from trend following to other time, I'm sure we said, you know, Q4 is traditionally a good time for trend. I remember that. That was definitely a start that people used to talk about. And so, you know, we still have two months to go. So we'll see, you know. Just like the one selling me and go away. We had our fourth quarter bullish thing. Welcome to Top Traders Unplugged. In markets, success doesn't come from predicting what happens next. It comes from being prepared for what you can't predict. In each episode, we go deep with some of the world's most thoughtful minds in investing, economics, and beyond to understand how they think, how they prepare, and how they decide and the experiences that shaped how they see the world. No noise, no shortcuts, just real conversations to help you think better and invest with confidence.

Welcome back to this week's edition of the Systematic Investor Series with Alan Dunn and I, Niels Kastrelasen, where you tweet, we take the pulse of global markets through the lens of a rules-based investor. Alan, it is wonderful to be back with you. How are you doing? What's stopping like on October 29th, 2026? I'm good. Yeah. Nice sunny day here. It's nice, autumnal weather. Halloween coming up. So everything's good here. Have you bought all your trigger treat stuff? Oh yeah, yeah, it's stocked up and ready for all of that. So yeah, it's a fun weekend for sure. Yes. Yeah, no, absolutely. Now we've got a very good lineup today. Thanks very much to you. Things you found, things you've written. So that's going to be amazing. We even have a question that came in. So that's super. We appreciate that. Before we do that, we always want to know what has been on the radar. So what's been on your radar?

Well, there's a lot. We could have chosen. So many, many candidates, but one that stuck out for me recently was a story I've been reading about the credit sector of the markets and the hedge fund industry. And it's interesting when you go to a lot of the hedge fund conferences, obviously, CTAs and macro tends to be a small component relative to the long, short equity. And then there always seems to be a large number of credit managers. It's not a space that I know very well, but I know in the last few years, when you talk

to people about credit, the one name that kept coming up time and time again was this hedge fund, Arenae Capital, which had posted very strong returns for a period of time. The PM is a former credit suice trader. Without knowing much about the strategy, that was certainly the name that was on everybody's lips, had raised a lot of assets really quickly, I think 7.5 billion.

in a very short period of time. And fast forward to this year and towards the end of October now, and the same fund is now down 22% or 25% on the year, which is quite substantial by any measures, but particularly in the credit markets. So again, just an interesting... observation on the challenge of manager selection. If you had said, what's the likelihood of this manager being now 25% to those investors at the start of the year? I'm sure it would have been regarded as a very low probability, but again, it just shows you how people tend to extrapolate. relatively short track records and assume to continue, but maybe even more interestingly the story on this is how now it's starting to be seen as almost a systemic issue in the high yield junk sector of the credit markets in the sense that.

this manager had been quite an aggressive buyer of maybe the lower rated, lower quality names and with that bid stepping away there are kind of more systemic concerns. So again, another interesting angle which hadn't been aware of and a number of other credit managers have been struggling there as well. So yeah, interesting story and one certainly to keep an eye on to see how that evolves in terms of credit markets going forward. Yeah, no, absolutely. And I did notice in the, I think it was like an FT article that you shared with me that they had raised a lot of money. I think even recently they raised something like one and a half billion. And sometimes I'm, you know, I kind of, I'm wondering how some of these firms can attract so much capital in such a short space of time compared to how long.

it takes in our world. I mean, unless you're a replicator, of course, but it is kind of interesting. Then the other thing that reminds me of that is when I speak with Andrew actually, he mentioned from time to time that people sometimes forget that this private label, it wasn't used to be called private, it was used to be called like junk bonds or something. Different right where kind of knew what you were getting into into but but as soon as you put the private label on this kind of oh Yeah, no risk. Let's just do it All right. Well

on my radar this is something that literally came in on my radar in the last half an hour I don't know when it came out today, but Apparently the ECB president Christine Lagarde has announced. She's gonna leave her post in February of next year, which is ahead of time and Of course it comes at an interesting time I think for Europe, for European fixed income markets and of course referring to the turmoil in France where by the way for those who don't know she used to be finance minister under Nicolas Sarkozy. And I mean some people may say that perhaps some of the problems they're facing now is because of lack of reform back when she was in charge but But the timing is interesting and I saw just already some commentary on this a lot to hear your your thoughts on it, but of course timing is interesting in the sense that we haven't quite won or the ECB hasn't quite won the fight with inflation. So that's still out there. And the other thing is that by leaving early you still have Macron and the German Chancellor Merz in power.

And therefore it allows them an opportunity to between themselves kind of say decide on okay who should lead the ECB going forward as they probably have the most sway in those matters. I have no idea but I mean wouldn't be surprised if that's part of the thought process here. Any thoughts on this news? Well, I mean, it's not totally unexpected. I mean, there has been talked about in market. So I wasn't shocked to see it. So I certainly had read that this was a possibility. And I think Ligard herself said she always thought she was going to do five years, I think instead of eight. So, but you're right. I mean, definitely comes at an interesting time. Obviously we've got European bond markets under pressure and French bond markets in particular, and obviously a lot of people are looking to the ECB wondering at what point would the ECB intervene in European sovereign debt markets? Obviously they have that facility to do that, but they tend to be reluctant to do so, and particularly with a country like France, which is going through the...

deficit procedure because the deficits are so large so i mean it you know it adds you know some i suppose uh you know delicacies to negotiation process like you know will commitments be given or etc around supporting the bond markets from whoever goes in obviously as you say there's always a lot of horse trading around this. I mean, some of the people who I thought might have been candidates like Isabel Schnabel, she's, you know, very

prominent board member, she's leaving as well to go to the IMF. Phillip Lane, the chief economist, he's term is due to expire. So I think, you know, it'll be some kind of political compromise, as you say, but definitely, you know, coming at a time when the European bonds are under pressure and obviously with the French.

presidential election coming up and the candidates there having extreme views on Europe and, you know, various proposals around, you know, getting the ECB to write off bonds, etc. From some of the candidates, you know, it's definitely going to be a politically fraught environment for sure. Yeah. And I think that's the other thing actually that kind of some of the comments I saw was that. by leaving early, it actually does allow her to get involved in the French election. Okay. Because apparently, as long as you're a president of the ECB, you can't really say anything, but, you know, you can once you're done. So, yes. Anyways, interesting. The other thing that was not surprising as this may be, but the other thing that is, of course, that hit the news while this week is the IPO of Anthropic. Again, it's just way too long to get interested, interesting to me to read up on, except I did see a headline from a commentator saying, you know, public investors would supply capital with little influence over the company's direction. And so apparently the founders keep 50.1% of the voting power. So, so yeah, but 100 billion, I think that is what they're looking for.

and at a valuation of one and a half to two trillion dollars for anthropics so interesting times and of course the other thing that hit my radar is because I have been traveling a lot I've been flying a lot so what better thing to do than put on a podcast and I have been exceptionally intrigued by your two conversations with two Japan specialists and optimists, I should say, Jesper Cole and Andrew McDermott. They were excellent, fascinating insight to, of course, bias, but, you know, with Jesper, who's lived there, I think since 1987 or something, I mean, these are real experts in what's going on. And I was kind of... You know, sometimes when you listen to a podcast, it's almost like, oh, I wish he would ask this or I wish he would ask that. And there's one question because especially maybe the one I remember most vividly was the one that came out this week was with Andrew, where he's obviously incredibly bullish and pro-Japan. And I think many, many good

arguments for that. But I wish that we could get his thoughts on what happened with this...

Carlos Ghosn or whatever he was name was, where the Japanese put him in jail that he escaped in a some kind of music box or whatever it was. I'd love to hear his thoughts on that side of Japan, but you did a great job. That sounds like you're saying I didn't do my full research ahead of that one. No, I'd actually forgotten about that whole episode, but I was looking at another podcast. We're listening and it's all that reference, but yeah, maybe if we get another Japan expert on that will be one to add in. No, it was fascinating. I really hope people will go and listen to these because I mean, it really does sound like a very, very interesting development. And again, the parallels to maybe what we need to go through in Europe and in the US is not irrelevant, I think, from an investment case and actually from a societal point of view.

No, I think that was what I took away. I mean, both of them very bullish on Japan, bullish from an investment perspective, but just bullish on the Japanese model and how society, how the economy is organized, what the focus has been in terms of, you know, focusing on the core competencies in manufacturing and being highly competent in certain areas and how that is yielding dividends and which is interesting, you know, amid the kind of massive investment in AI and AI technology in Japan is participating in that to an extent, but in a different way in terms of providing more of the nuts and bolts, I would say. But also, as you say, the more recent changes in society coming partially from the new Prime Minister, but more generally, maybe a demographic shift, just for a second.

you know, younger CEOs coming in with a different mindset that, you know, the jobs for life mentality maybe has been changed and all of that. So yeah, well worth the listen. And that was certainly made me think to, you know, of a need to look more closely at Japan, you know, definitely. You should have like your own little month of Japan every year where you invite people in to talk about these, because sometimes it's actually quite nice to follow up on these things. So they're not completely forgotten. And I did like the fact that you pushed back. from time to time a little bit on the importance of the other challenges that they had with their governance in

the past, where it's kind of skipping over that a little bit. And then you brought them right back to that, saying, oh, well, there were some problems back then. But anyways, I thoroughly enjoyed it. So well done. And by the way, the last thing that, again, not that I haven't fact checked it, but I'm sure it's right.

When Andrew mentioned that in terms of foreign investments, Buffett is fully 100% invested only in Japan. I mean, that's, it's pretty amazing. Yeah, I'm not sure. I'd have to check exactly what he said. No, no, I mean, again, but you know, I'm sure he's fine. Yeah, yeah. Or a big proportion, anyway. Yeah. All right. Well, let's move to something a little bit closer to Shaw, which is trend following. My trend barometer finished yesterday at 36. So that's a little bit weak. And you know, we only have like a day and a half left of trading in October. And so I think that number is fairly in line with what's going on in terms of the performance for the month as a whole. I will say though that the last few days have been encouraging in our space. So just to just to make a note of that. And of course.

We can run through some of the numbers in a second. We can talk about some of the market moves and all of that stuff. But we have two months left of this year. We have a midterm election next week. So this is far from over, even though it looks pretty good for trend followers so far. This is far from over, I would say. Any thoughts from where you sit and the things you follow? Yeah, I mean in terms of the managers we allocate to and monitor, you know, obviously it's been a simple story of October, we've had a correction in bonds, so that's been the major headwind and at the same time gains more on the commodity side energy in particular. So that's kind of been, obviously if we went back a month to September, obviously Fixingcom was a real standout, we've seen a correction there.

a bit of a give back, so nothing unusual there. Definitely very, I mean, it's an interesting year when you take a step back. There's been some usual, I mean, wide dispersion, but maybe even more than normal, I would say, with some very strong performers and some couple that have lagged for, you know, I would guess, idiosyncratic reasons. I guess you always get that to an extent, but, you know, Some years it feels like everybody's up, but here it definitely does one or two that have lagged this year and at the same

time a couple of positive errors. So that's certainly interesting. The midterms as well. Yeah, I mean, I think it's interesting. I'm sure I'd have to check now, but my sense is that, you know, often you see these analyses at this time of like what is splish.

Presidency or White House is Republican, and then the House and the Senate are the opposite. From recollection, I would have thought, I think that's a positive scenario for equity markets, historically. But it feels like coming into this one, people are a bit more pessimistic on that scenario with the possibility of maybe if the Democrats come in, there's going to be a more disruptive... an even more disruptive time for the next two years with, you know, maybe pursuing Trump again, and also greater pushback on the, you know, the whole AI area and the data center build out. So they're seeing those kind of risks to a, a, a,

inside a different rapper anyways as i mentioned these numbers are well i didn't mention that but these numbers are as of tuesday night and i will say yesterday was a good day overall for the industry so the numbers will be better as of last night although who knows what happens today and tomorrow anyway beats up 50 index is down just 1.16 for october still up 13.53 for the year socgen cta index down one and a quarter and up 14.21 for the year. Stockton trend is down only 93 basis points and up 14.73 for the year. And maybe the only surprise still is the Stockton short term traders index is down 1.09% for the month of 5.15% so far this year. In the traditional world, MSCI world as of last night is up 74 basis points, up 12.6% for the year.

If we take out the US and Canada, so we have the MSCI EVE, we're down 1.18 for the month and up just 9% for the year. So a huge difference when you take out North America. World government bonds up 80 basis points, 79 to be precise, but down 2% so far this year. And the S&P 500 doing well up one and a quarter for the month and up 14.17 so far this year. As usual, Alan, we need to start with your global macro view. So I am in a world that moves as fast as it does. What's your current view? Well, I just wanted to pick up on a couple of themes in the macro segment. Really, one of the things we've been talking about, obviously, has been the third and communications and, you know,

Kevin Warsh's new approach, et cetera, and we had the latest installment of that last night. We had the latest press conference, which was, you know, the outcome was largely expected. The Fed were unchanged. There were two dissenters and, you know, as usual, not a huge amount given in terms of forward guidance, et cetera. But there were a few things that I think were interesting in the press conference. One was, you know, The Fed now are going to have fewer meetings going forward, so that's one thing. From 8 to 7 and then then to 6 that are policy focused and a couple of them will be more strategy meetings. That's going to be interesting. Obviously they didn't really say what they were going to talk about or what would the output be in terms of the strategy meetings, but arguably a good thing.

What it does point to as well as the point that you know that the reason that the post this month was because if that was do it do you know do the

upcoming period was data rich. Maybe we should expect less frequent actions from the Fed, but if that's the case, then presumably the actions will be of greater magnitude. So that would point to potentially more volatility around the meetings than maybe we've seen in the past. But a couple of other things that one was denoted the tighter financial conditions, and that was seen to be a good thing, which is interesting because where we've seen tighter financial conditions has been in credit markets and some of the, you know, the high yielding bonds or the bonds of Neoclouds, et cetera. And so interesting, presumably, then the implication is if we saw more of that.

that that wouldn't be unwelcome. And the final thing that I wanted to talk about that was just interesting, you know, he was he was kind of questioned as to why did it move at this meeting and, you know, why wait? And he kind of took a step back and wanted to reflect. And he said, well, you know, if you take a step back and look at what we've done is we brought in what he called new monetary medicine. So what does that mean? It was five things one. They've reaffirmed their target that the 2% is the inflation target. They said they've taken responsibility. They own the target. And they laid out a framework in Jackson Hole, where it was kind of a pretty generic framework. They interrogate reality and they act. So, I mean, it struck me like that's one way of presenting what they've done since May. Another way would be to say, you know, Kevin Warsh is coming in May and they've, you know, made one.

minor adjustment of 25 basis points, you know, so it's just if somebody is presenting something that's, you know, not especially unusual as something with a label now called new monetary medicine and outlining five components to it. It reeks of somebody trying to make it what they're doing as sounding more substantial, more significant maybe than they actually are. So I don't know if that's been unfair, but it's certainly you know, if you want to make something sound significant, you know, have five components to it, list them off, put a label on it is always a good thing. But in reality, you know, I'm not sure I'm not convinced about that. What I've been saying about, I suppose, Kevin Warsh in this whole area of communications before is he's kind of taken this approach of if they can kind of come in and talk tough and say, you know, it's 2% 2.0, we own price stability, it's our responsibility.

that somehow they get some credibility. But I think that only gets you so far. And over time, you know, action is required if you really want to build credibility. So I feel like it's been one step forward, one step back with the Warsh chairmanship since he's come in. And he's had some good days, which has convinced the markets yesterday wasn't wasn't a very negative day. But it would certainly leave some questions to my mind. So that's still something, I think, still hanging over the bed as to why there's such labels, frameworks, when in reality the adjustments today have been very modest. It sounds like a typical politician, in a sense, selling something maybe for more what it's worth. And who knows? I mean, he has been predicted by some that he might run for presidency.

in the future. But speaking of action, do you know when these tasks force are going to come back with actual feedback or recommendations? It's due to be the end of the year. And he said some would probably be by the end of the year. But the sense for some maybe one or two would not be. But I think they're also having like a meeting. It could be in November in California, I believe, with the productivity task force. So that's a and that would might have been referenced at the last meeting. But definitely we're supposed to cure some more tangible output by the end of the year. Yeah. Yeah. Okay. All right. Well, I mean, in the end, obviously, people removed the 25 basis points hike for September, but that's still the 75 basis points, I think, priced in for next year. So Yeah, a little bit less than before the meeting, but you know rates are still headed higher. It's it would seem let's move on to something that I found kind of a Little bit difficult to grapple with in my preparation. So I'm gonna definitely let you steer this one and that was the Percini report which when when I started reading it I thought This style of writing reminded me of Cliff Asnes. I think he wrote a piece where he was looking back from 2035 or something like that. What would you have done with your portfolio? Whatever it was. Anyways, I'll hand it over to you because no doubt it's interesting. You sound like you need to be convinced. But it's from Dario Perkins who's been a guest on a double macro series a couple of times. So I enjoy reading.

and hearing from Dario. And obviously it's called, I think it's obviously written a little bit tongue-in-cheek in the sense that it's a play on the Citrini report, which was obviously heavily influential in markets in February. And

when this came out, I noticed it through. you know, a fairly good amount of attention on social media. And so I thought it was interesting from that perspective and worth a shout out. And basically, as you say, it's written in the style of the Satrini report. And as you say, not dissimilar to that Cliff Aston's piece where it's kind of written in the future looking back. And in this case, it's looking back at the unwind of the AI boom and bubble and bust, essentially, and how that might, you know, how my play out. So it's kind of written from, you know, essentially, I think 2030 or post the boom, post and recovery. And I think what it does well is it kind of sets out some of the mechanisms at play in terms of the the self-reinforcing AI boom, how revenues are being boosted by the CAPEX, but at the same time, the expenditure has not been depreciated. So that boosts the overall aggregate earnings for the market. You've got these circular financing flows within the industry as well, which are a key factor. And it distinguishes between how the technology could be highly significant from an economic.

society perspective versus how it might prove to be not a great investment. And one thing as well, I think in from an investment conclusion, he doesn't say, you know, sell all everything now. I think it is a sensible conclusion of, well, how do you position for this? You have to have a portfolio that has some exposure to equities, but at the same time, have strategies, have assets in there that can deal with an eventual downturn and an unwind of this type of scenario, which I think is a good idea. I mean, from my perspective, I thought he could have been even more stronger on some of those, the reflexive elements within the boom, in the sense that we have this kind of a sourced, reflexive kind of process at play where you get strong capex, which boosts earnings, which raise the stock prices.

which lowers the plastic capital for some up to a point, creates a wealth effect which causes more equity purchases and reinforces the whole cycle and creates positive economic growth. So it is a classic kind of reflexive process. And the other thing is like, where does it all end? And in Dario's scenario, it ends at some point, I think in 2027, when the hyperscalers decide to... abruptly cut back under Catholic spending which is one plausible scenario but What you often find with boom bus scenarios is that the boom itself sows the seeds of its own destruction. And that could be the scenario here. We started to see that a little bit more recently with the

neoclouds and some of those stocks whereby this competition for capital is pushing up bond yields and those higher rates are making some of those business models less tenable. So we're already seeing some of the stress and some of this idea of how the you know, the higher yields could there be a kind of a curtailing factor for the boom. And then the other factor I thought, you know, I thought it was somewhat blasé maybe not, but certainly Sanguain was indeed the longer term economic impact. His view was, yeah, it's a boom followed by a bust, but actually the economic impact wasn't so great because.

from a GDP perspective, strong CAPEX is important for the US, but a lot of it is seeping out to places like Taiwan and Korea. But my sense is that there is that strong multiplier element from this data center construction. You know, anecdotally, you hear of a lot of industries, even here in Ireland, who have benefited from that. You know, whether they're engineering firms or project management firms, a lot of this, you know, certainly the construction sector has repurposed at least. it would seem to towards into the data center sector. So I'm not sure that his idea that, you know, an unwind would be orderly and particularly on the wealth effect, which he again seemed to think wouldn't be that significant. But actually, if you look at the Buffett indicator, you know, that's at an all time high, you know, it's the ratio of the stock market capitalization to GDP. So every 10% fall in the stock market would have a very meaningful impact on consumption to my mind.

And the other part that's missed then is that he draws parallels with the past. Maybe it's a bit like 2000, somewhat like 1990. And that's true. But one thing that we've got now that we didn't have in those periods is very high debt levels. And if you do get an economic downturn now on the back of an unwind of this capex boom. That's going to push up debt levels even more. Every time we've seen a recession in the US, debt levels always jump higher. So that would be my major concern that in the post, I mean, we're speaking of busts as a certainty, it's obviously not a certainty, but if this kind of scenario would play it out and we had this unwind that we could see a more severe downturn that could significantly push up debt levels again, And then you're into the whole area of fiscal dominance, potentially financial repression, which has come up a little bit so far. But I think it

would be even much more in that scenario. So I think it's definitely an interesting thought-provoking paper. Everybody has a view on this boom. Is it a boom bus cycle? How will it end? Will it ever end, et cetera?

It certainly presents a plausible kind of scenario, but I thought it could have been even more extreme in some ways. Sure. No, no, absolutely. And in some ways, to me at least, it kind of brings back some parallels to your conversations about Japan and how Japan was doing in the late 80s and then suddenly things changed. And the fallout of that just took... forever to go through, so to completely dismiss that is interesting. Of course, these names for reports will inspire me, I'm sure, to write the Trendini report in the near future and see if we can get the same uptake. Obviously, the way if you want to go viral with your research, that's what you have to do.

Dini in there. Maybe, you know, the year is 2030 and you're reflecting on a fantastic decade for trend following. Yes. Absolutely. Absolutely. You know, speaking of that, maybe you should just be reflecting on 1000 episodes done, which we will come up to in on the 13th of January next year. We would, I think publish episode number 1000. So maybe that's when I publish my trendy report. You never know. But that's not the only thing we're going to talk about, because in a sense, it's kind of a nice lead-in. Because in an odd way, what the report is also, I think, the impression I sat with was, OK, so how do you prepare for all of this without becoming a forecaster? Right? How do we deal with that? So very kindly, you produced another piece, which is, of course, written by yourself.

I don't know if it's public yet, but it's a new blog post about bond equities and the challenge of diversification. I very much look forward to getting into that one. And I think we have a question that relates to maybe this or it's the next one. I think maybe more so the next topic we want to talk about. But let's nice and slowly so everybody can follow along talk about this because it's very important even though, you know, there's been a lot of talk about these things. But this relationship and changes to that relationship produces a lot of considerations for investors. Yes, definitely. Well, obviously what we're talking about is the relationship between bonds and equities and a bond equity correlation. I've just published it on my LinkedIn

or weather investor blog, but I'll probably post the same one on Beyond The Cycle and Substack.

The point I wanted to make here is that everybody's talking about the change in the bond equity correlation. It was negative for many decades, the 2000s, 2010s, maybe the 90s as well. It's now shifted to positive since this decade. If you go back in time, actually it was more typical to be a positive correlation, but that aside. To some people that means, Correlation has shifted from positive to negative. That means, you know, throw bonds out of your portfolio. And other people say, no, look at bond yields are higher now. Keep them in better times for the 60-40 head. So the point was, these are kind of first level thinking is what Howard Marks would call them, you know, and, you know, looking at the historic correlation has so many issues with it that you kind of have to delve a little bit deeper than that.

So that's the first thing. And then, OK, what do you have to think about? What are the issues when you're building a portfolio? And the piece is really about all of that. But even looking at the period since 2020, you see how markets have really gone through many kind of sub regimes maybe in that period as well. In aggregate you would say it's a period of positive correlation between bonds and equities and if you were to categorize it in aggregate it would be that inflation has been higher than in the last decade, it's been stickier, we've had more adverse supply shops, Ukraine, COVID, the war in Iran etc, higher energy prices and all of that has contributed to that negative.

or sorry, that shift to positive in the bond equity correlation, which has meant that bonds have had more tough decades, basically. But, you know, within that, you've had different periods. You had, you know, it started off in more typical kind of, you know, COVID was initially kind of a growth concern. It could be sand, bonds up. Then we went into the recovery from that, immediately, and then we had the stagflation of 2022. But then following that, we had what was called at the time the immaculate disinflation. Inflation came down without much economic costs. We've had concerns about tariffs, we've had concerns about debt, and now we've had a scenario of stronger economic growth. So actually, if you look at the role in correlation, it's shifted quite a lot during that period. And we've had

scenarios within that, we've had periods where equities have gone down, bonds have done quite well at the start of the decade. We've had periods where equities have gone down as well due to kind of stagnation concerns.

But we've also had periods where we've had hints at scenarios that could become bigger but ultimately didn't. So I'm talking about in March 2020 and again post-Liberation day when you had concerns about an unwind of the basis trade and equity selling off and bonds selling off at the same time. Both episodes ended up being curtailed, but you could see how they could become bigger issues. We've also seen at times when debt concerns have crept into the market we saw in 2023. We've seen it to an extent in the last while. Obviously, people debate, is it more growth driving up our yields? Or is it debt sustainability? But it's certainly there as a theme. But it hasn't developed into a full blown crisis in most markets. We did see that to an extent, obviously, in 2022 in the UK with the Liz Trust moments. So again, what a point to is that if you say the average correlation is 0.3 since the start of the decade. That's true, but that masks a lot of variability and a lot of scenarios that played out to different degrees. So I think from an asset allocation perspective, the question isn't what's the past correlation being? It's how are bonds and equities going to behave going forward? In the 2010s, when equities were down about 2% in the month or more, bonds tended to be up about 2%. So that was perfect.

But in this decade, because of the influence of 2022, you haven't seen that. But then at the same time, yields are higher now. So you've got to consider that. Bond yields are higher. And also, you have to understand that correlation tells you about the co-movement of assets. It doesn't tell you about where they end up after a long period of time. So actually, bonds and equities were negatively correlated in the 2010s, but both bonds and equities posted. positive returns over that period, obviously equities much greater because they're more volatile. But it was a reasonably positive period for bonds. Whereas this decade, bonds and equities are positively correlated, but equities have done very well and bonds are actually negative returns despite that positive correlation. So it's another wrinkle in the kind of the challenge of interpreting correlations that averages paper over a lot of stuff.

There's a lot of dynamism there. And also, you get lead-lag relationships as well. You can have a period where equities are going up and bond yields are going up like we've seen this year. So, you would naturally say, well, will that be a negative for equities? But often, it yields rise for a certain period, and then they bite, and then you get a reaction in the equity market. We saw this in 1997 was the extreme example of this. bond yields went from 7% to 10%. The equity market went up 35% between January and August. And then it was like equity investors says, wow, we could get 10% risk-free and treasuries. Why don't we just get into that and exit our equities en masse? But the point there was that in the sell-off, bonds and equities were negatively correlated. Equities sold off, bonds went up.

But you still had a huge hit to a 60-40 portfolio. So, you know, negative correlation by itself isn't enough to prepare a portfolio. So I suppose I'm given a whole menu of different scenarios and different things people have to consider. What I would say is that, you know, there's been this sense that, OK, maybe investors should exit duration and go into short duration. And that makes sense in the current environment. But everything comes with a trade-off. If we were to go into the scenario, the Perkini scenario, as you might call it, of a big equity sell-off that ultimately was very disciplinary, duration would probably do very well then. And if you've moved into short duration, you're not going to get that kicker from the duration side. But equally, then if we go beyond that and into the fiscal dominance scenario that I'm talking about, that might cap the default or limit the fall in bond yields and that would justify having allocations to assets like gold or also to adaptive strategies like trend following. So my point is, yeah, it's complicated, I guess is one thing to say. You have to, you know, you have to build and think about the allocations.

for multiple scenarios. And the other point is obviously people have been talking about 60, 40 and a 40 side for so long. It's almost a given that the 60 will continue to deliver, but that's obviously not a given. So in terms of being the primary driver of a portfolio, should it be purely reliant on equity risk? That's a whole other debate as well. So, yeah, the key points of the blog were very much around building more robustness. not relying on one or two assets but being more diversified and also thinking about multiple economic scenarios. Yeah. Well, let me try and let me try and come up with

some thoughts on this. So one is you mentioned this trust and this trust moment. Did you see yesterday on the Financial Times? There's an article out, I think that she just published a book, which the FT, I think I'm not sure they fully agree with how she account for some of the events, but I see she's a bookhead. Yeah, I haven't, I haven't, I didn't read a review or haven't read it yet. No, no, there's a review out by Toby Nungle yesterday. So anyways, people can read that themselves, of course. The other thing I was thinking of is that you mentioned the 6040, you mentioned the 40, and historically at least if we sort of tied a little bit back to our world or I should say maybe maybe more my world because you invest in many things. But in my world, I mean, obviously trend was positioned as this crisis alpha and but the crisis will always equities. And so that's where we've done most of the studies. And we have all the slides, the good looking slides to show for that. I would say though that what this year maybe in particular have done in my view is that It's open the debate a little bit whether that quote unquote crisis alpha couldn't be quite useful towards the 40. And especially if you have say a trend following CTA strategy that is not too volatile where you could almost talk like about a replacement in terms of risk levels, but where you get some benefits from not being tied to only making money if interest rates go down.

And at the same time, of course, people still might look at it as something for the 60, but I just think it opens the dialogue a little bit as to what it's been used for. So I've certainly seen people doing that, especially towards obviously some low vol trend strategies. But what I wanted to ask you is that maybe you just take it something pretty simple and that is What are the kind of the worst economic scenarios that would really, really challenge a 60-40 portfolio? If we look out maybe a little bit longer than the Perkini report, but sort of the next 10 years or so. Yeah. What are the things people should really worry about? Well, I think, you know, obviously I mentioned the...

types of scenarios that then impact bonds and equities adversely. At the same time, we're typically adverse supply shocks. And we've seen that obviously in 2022 with rising rates after higher inflation. And we've seen it to an extent in March of this year, we saw it with higher energy prices. So obviously a big, an extreme run up in oil prices is one thing. Obviously, a

debt crisis is another one in the sense that You know, that's what you typically see in more emerging economies. You know, when an emerging economies loses investor confidence to the term premium, risk premium rises on the bond side, but the higher bond yields then become a negative for the economy more broadly and that influences the equity market and then a weaker market in general and a more pessimistic growth outlook influences both sides as well.

You know, as I say, that's more emerging market debt dynamics, but we have seen that to an extent in developed markets recently. So I think that's another one. You know, currency crisis could be another one, depending on how they play it, if they were particularly disorderly. So yeah, I think one of my points in the blog was, you know, if you think about the 2010s. The big risk was always seemed to be around economic growth. Would growth be sustainable or not? And because of that, we had ongoing QE, we had low rates. So that was the big risk that was constantly there in the background. Why? Because we were living in the post-financial crisis era of the global economy was healing, it was deleveraging, it was hard to get people to invest, consumption was weak. Now we're in a totally different scenario. The risks are much more...

Diverse, we mark its price in tariff risk one week, it's debt sustainability, it's the risk of an AI sell-off, but equally we could have an AI driven blow-up, or blow-up, sorry, what's it, melt-up, I guess. So, I mean, there's much greater variety of risks that investors have to account for, I think. and portfolio construction. I think the last one you mentioned there, I actually think that's a really interesting one, right? Because we always think about risk to the downside, but you're absolutely right. I mean, the risk for investors is also missing out on something huge, which of course speaks to things that we do in the non-predictive world where we just follow the price. I mean, where you can stay Long bonds much longer than than people thought back in the 2020s because interest rates were so low and so on and so forth. I think that's a very important point that we don't necessarily always have to worry about. The downside we also need to make sure we have enough exposure if things continue until it all stops.

You mentioned this thing. I don't know if we need to talk about that again, but you mentioned example where even if there is a negative correlation bonds might. Disappoint. Yeah, that's true. Yeah. I mean, I think that that is definitely worth making sure. But when everything is said and done, I mean, how our investors to. to deal with that without being too predictive to go back to the prokini report. Yeah. Good question. Obviously, we have solutions that offer potential ideas for investors. But I mean, broadly means having an element of growth exposure in your portfolio, but not being excessively exposed to equities and growth assets because of the obvious risks with that. I mean, I think the debate on 60-40 has become too polarized, it's either all or nothing on bonds. I've made the point before, you can still have a core allocation to bonds that's probably less than 40, obviously. But then if you allocate to something like trend or macro, you're still getting fixed income exposure in a managed way. So you have to think about that as well, that you've effectively got a passive.

core bond exposure, complemented with a tactically managed bond exposure. But I think having exposure to commodities makes sense. Precious metals, I think there's a case for it. I think cyclically, obviously there's headwinds to metals in the last few months that may continue. But with financial repression, fiscal dominance concerns, I think they remain a part of... the diversifying sleeve in portfolios. So, you know, from my, you know, my framework on this is, you know, in the paper that we published last year, it's about balancing growth with diversification, with adaptiveness as well, which is where the trend type exposures or macro type exposures come in. So I think it's, and that probably leads into our next topic, but it's having greater balance for, you know, greater resilience. There was one number, by the way, I thought, I don't know if you picked up on that. I just thought it was kind of interesting. You have a table in your report or in your blog post where you list different start and end dates and you show how much equities did and what bonds did and you show the daily correlation. The one that really stood out was December 21 to September 22. Equities down 20.5% bonds down 60.2. And then daily correlation was negative 0.01.

No correlation, but they still managed to fall. By the way, that's the other thing. Maybe it comes from this period of perfect correlation and convexity

in a sense. But I do get the sense a little bit that investors have become very demanding in terms of the convexity that even strategies like ours should provide, even in the short term. Meaning it's almost like, oh, if equities are down one day, we need something in the portfolio that can offset that straight away, which is a very, very short time horizon to try and do that and then also make money in the long term. So I don't know if that's a little bit of a legacy that we were spoiled, so to speak. And today it's very hard to come by anything like that.

We're going to jump to, I think, the final topic today, which is very related, of course, and that is portfolio resilience. We often use this word about being resilient, but we never really talk about what does it mean, so I think we're going to do that a little bit today. I wonder, you did get a question from Torsten, who wrote in to a blog post, not a blog post, a LinkedIn post. Is that a good time to bring it up now? Okay, all right. So he writes,

Building portfolio resilience is necessary to reduce maximum drawdowns and to lessening the duration of recovery. That's I think a quote from you. What kind could be diversifiers in macro environments, e.g. rising inflation, slowing growth, which could hit a classic 60-40 portfolio on both sides, discussing the pros and cons of the different potential risk diversifiers. would be very insightful, e.g. currencies, managed futures, cat bonds, hedge fund strategies, private markets, etc. So yeah, why don't you just jump into this part and try and explain maybe what do you think of in terms of resilience for a portfolio? Yeah, I mean, as you said, this is a term that we throw around a lot in the industry, you know, and everybody seems to want portfolio, a more resilient portfolio.

And you'll hear people saying, well, if you add this, your portfolio will be more resilient, which is generally deemed to be a good thing. But there's no kind of hard definition of this. And I haven't seen anybody showing how to measure how resilient your portfolio is. So I thought this would be useful. And particularly, Because if you look at them, particularly in the financial advice world, it tends to be, do you want more return? And if you do, you take more risk. So it's very much two-dimensional risk return axes. But nobody says, do you want more resilience? That doesn't seem to come into

the equation. But in the institutional world, we do talk about resilience to a much greater extent.

So I mean, from my perspective, a few things, I mean, I think you have to differentiate between having a resilient overall portfolio and then the components that you might use to generate that, you know. So obviously that's where, you know, if you have, you know, equity exposure and to the listeners question, you know, if you add in private equity, then obviously that's not giving you diversification. It's probably not going to improve resilience. I mean, it might a little bit in the sense of the fewer market to market, et cetera, volatility laundering is Cliff Aston's goal. So maybe there might be the impression of resilience, but in reality, you're adding more equity risk. So I mean, what do we mean by resilience? I think we, you know, The word resilient means kind of an ability to recover and an ability to bounce back relatively quickly, an ability to withstand shocks. So from my perspective, you know, you got to think about how to construct a portfolio to deliver that. You know, there's a question about can you assess that kind of ex ante? You can probably assess it exposed if you look at a particular portfolio through long enough periods. And then you can say, well, how is a particular portfolio done?

through the major drawdowns, 2002, 2008, COVID, 2022, et cetera, and look at annualized return versus drawdown, that those types of measures would give you a sense on how resilient the portfolio has been historically. But then the question is also, what are the components that contribute to portfolio resilience? And I think from my perspective, there's probably four things. And we're trying to develop a tool around this to help educate investors. And they are having a moderate reliance on growth, but not excessive reliance on growth. That's one thing. Being more diversified is a second thing. And obviously, being diversified again is another topic that is hard to pin down. A lot of people say, well, look, I've got 10 different asset classes in my portfolio.

But a lot of them could be growth related. So what you really need to do is calculate the number of independent bets you have in your portfolio. And obviously the more independent the unique sources of return you have, the more statistically diversified the portfolio is, not counting the number of

assets you have. So moderate growth alliance diversification. I think inflation protection is another thing. You could have a portfolio that is Defensive, but maybe not, doesn't have a great ability to withstand inflation, so then that's not resilient from an inflation perspective. And then obviously being able to withstand major shocks in markets, whether that is by having protection. long vol or protective type strategies or adaptive strategies like CDAs that can respond to different environments. So I think they're all the components to my mind that go into a more resilient portfolio. I mean, to my mind, you could score the portfolio on each of those measures and get an aggregate resilient score. And that's the way I'm thinking about this. I mean, I'd be curious to hear how other people view that and then obviously you can kind of assess the resilience of a portfolio ahead of time then as well as then looking how a particular kind of asset allocation can would have you know performed historically to sense check that against the actual data so because I think I think we're where people you know obviously you know where people kind of struggle is in terms of looking at a portfolio and aggregate and viewing individual components. And obviously, you know, to produce a resilient portfolio, you may want to have some allocations to strategies that are maybe not optimal or certainly not necessarily the things that have done well in the recent past, and maybe less allocations to some of those things as well. So there is a question there as to, you know, do investors really want resilient portfolios or do they want growth-centric portfolios? But I think for those that do, they're the metrics that I'm thinking of in terms of the components of what goes into portfolio resilience. Does resilience have to cost money? Because you know what I'm getting at, meaning often people talk about, oh, I'm going to have an ongoing hedge and we're going to cost them some money to do that. But resilience is a little bit different.

So in your experience, and okay, maybe we don't have a lot of live data to go by, but I mean, is it possible to actually create portfolios that are more resilient, but actually also better performing? Well, I think that would be the point of it over the longer term because what you get is with kind of more concentrated, higher volatile portfolios, you get a bigger. volatility drag. The idea being that if your portfolio is then 50%, then it has to recover by 100% to get back to where you are. So a more resilient portfolio can mitigate those tails and compound them at a higher rate over time. And

that's the rationale for having convexity in the portfolio. In some instance, you could pay for that in terms of protection, having strategies with a Long volatility profile like CTA that type of thing through adaptive and convex that you know You don't necessarily pay for that But there are periods where those strategies will underperform relative to equity beta, right? So you're kind of paying for it in terms of opportunity costs But I think you can get you know, the point is that over long enough periods of time Certainly more more resilient portfolios are more balanced diversified portfolios can deliver a more smoother ride and probably even a higher return for the same level of risk by mitigating those major equity drawdowns. The point is the major equity drawdowns come along so infrequently. Like I'm talking about the 50% drawdowns that came, you know, 2002, 2008. You know, we had a significant drawdown in COVID, you know, but, you know, a 50% drawdown that lasts.

you know, two, three, five years, that's a different proposition. That's the kind of thing that really impacts long term compounding. They come so infrequently that people forget about the need to have this resilience, genuine resilience in the portfolio to be able to extract those longer term returns. Yeah. And of course it's always a challenge for investors with any kind of diversification, which usually means you're lagging when equities are just roaring ahead and seeing a pure equity portfolio do better than your own portfolio is a challenge. It's an emotional challenge for investors. This was great, Alan. I really appreciate that. Now, we had a piece also that came across our desk, which is from CFM. I think we should keep that because it's written by one Philip, Philip Sieger that you and I spoke to a few years ago on the podcast. But we're having another Philip.

Not spelled exactly the same, but another Philippe on the show very shortly where we're going to be recording with him next week. So let's talk to him about it. I think would make a lot of sense. Cool. All right. I think we've done a pretty good job today. So I appreciate that. Thanks for all the prep work. And of course, if you want to show your appreciation for Alan, go read his blog and also go and leave a rating and review on your favorite podcast platform so that more people can listen to these conversations. We really do appreciate it. And if you have a question for a future episode, info at TopTradersOnBlog.com, that is the email that I will be monitoring. And

you might have a question for next week's guest because it will be Jim Casang.

And he has some strong views at the moment about the world and future. So if you want to challenge those views, here's your chance. But be gentle, be nice in your challenge. Anyways, that's it for this week from Alan and me. Thanks ever so much for listening. We look forward to being back with you next week. And in the meantime, as always, take care of yourself and take care of each other. Thanks for listening to Top Traders Unplugged. If you feel you learned something of value from today's episode, the best way to stay updated is to go on over to your favorite podcast platform and follow the show so that you'll be sure to get all the new episodes as they're released. We have some amazing guests lined up for you and to ensure our show continues to grow, please leave us an honest rating and review. It only takes a minute and it's the best way to show us you love the podcast. We'll see you next time on Top Traders Unplugged.

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